

**JOCHU TECHNOLOGY CO., LTD. AND
SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS AND
INDEPENDENT AUDITORS' REVIEW REPORT
JUNE 30, 2023 AND 2022**

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REVIEW REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Introduction

We have reviewed the accompanying consolidated balance sheet of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the “Group”) as at June 30, 2023 and 2022, and the related consolidated statements of comprehensive income, of changes in equity and of cash flows for the three months then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the Financial Supervisory Commission. Our responsibility is to express a conclusion on these consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Standard on Review Engagements 2410, “Review of Financial Information Performed by the Independent Auditor of the Entity” of the Republic of China. A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as at June 30, 2023 and 2022, and of its consolidated financial performance and its consolidated cash flows for the three months then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the Financial Supervisory Commission.

Liao, Fu-Ming

For and on Behalf of PricewaterhouseCoopers, Taiwan

August 11, 2023

Hsu, Sheng-Chung

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors’ report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
JUNE 30, 2023, DECEMBER 31, 2022 AND JUNE 30, 2022

(Expressed in thousands of New Taiwan dollars)
(The consolidated balance sheets as of June 30, 2023 and 2022 are reviewed, not audited)

Assets		Notes	June 30, 2023		December 31, 2022		June 30, 2022	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current assets								
1100	Cash and cash equivalents	6(1)	\$ 1,578,427	34	\$ 1,711,918	37	\$ 1,772,642	38
1110	Financial assets at fair value	6(2)						
	through profit or loss - current		-	-	2,475	-	-	-
1136	Financial assets at amortised cost -	6(4) and 8						
	current		17,669	-	53,788	1	37,492	1
1150	Notes receivable, net	6(5)	32,064	1	29,661	1	28,367	1
1170	Accounts receivable, net	6(5)	1,087,394	24	1,004,102	22	1,044,680	22
1180	Accounts receivable - related							
	parties, net		-	-	-	-	74	-
1200	Other receivables		114,872	3	117,267	3	115,182	2
1220	Current income tax assets		56,390	1	56,142	1	56,008	1
130X	Inventories	6(6)	224,280	5	252,863	6	255,141	5
1410	Prepayments		21,712	-	11,796	-	28,864	1
1470	Other current assets		35,211	1	25,468	1	38,688	1
11XX	Total current assets		3,168,019	69	3,265,480	72	3,377,138	72
Non-current assets								
1510	Non-current financial assets at fair	6(2)						
	value through profit or loss		22,780	1	12,460	-	-	-
1517	Financial assets at fair value	6(3)						
	through other comprehensive							
	income - non-current		3,114	-	3,071	-	2,972	-
1535	Financial assets at amortised cost -	6(4) and 8						
	non-current		406	-	403	-	399	-
1550	Investments accounted for under	6(7)						
	equity method		-	-	8,442	-	10,960	-
1600	Property, plant and equipment	6(8) and 8	1,125,295	24	1,080,855	24	1,125,697	24
1755	Right-of-use assets	6(9) and 7	128,188	3	92,397	2	98,631	2
1780	Intangible assets	6(28)	55,150	1	-	-	-	-
1840	Deferred income tax assets		51,949	1	51,093	1	53,898	1
1975	Net defined benefit asset - non-							
	current		10,068	-	9,999	-	8,185	-
1990	Other non-current assets	8	49,004	1	51,872	1	45,198	1
15XX	Total non-current assets		1,445,954	31	1,310,592	28	1,345,940	28
1XXX	Total assets		\$ 4,613,973	100	\$ 4,576,072	100	\$ 4,723,078	100

(Continued)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
JUNE 30, 2023, DECEMBER 31, 2022 AND JUNE 30, 2022

(Expressed in thousands of New Taiwan dollars)

(The consolidated balance sheets as of June 30, 2023 and 2022 are reviewed, not audited)

Liabilities and Equity		Notes	June 30, 2023		December 31, 2022		June 30, 2022	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current liabilities								
2100	Short-term borrowings	6(10)	\$ 40,000	1	\$ 55,000	1	\$ 20,000	1
2120	Current financial liabilities at fair value through profit or loss	6(2)	18,961	-	5,447	-	16,653	-
2130	Contract liabilities - current	6(19) and 7	842	-	3,187	-	12,401	-
2150	Notes payable		-	-	-	-	187	-
2170	Accounts payable	6(11)	556,091	12	481,009	11	437,291	9
2180	Accounts payable to related parties		-	-	14	-	-	-
2200	Other payables	6(12)	361,016	8	266,136	6	400,026	9
2220	Other payables to related parties		210	-	270	-	-	-
2230	Current income tax liabilities		20,403	-	42,745	1	35,896	1
2280	Lease liabilities - current	7	23,011	-	3,585	-	10,709	-
2320	Long-term borrowings - current	6(13)	166,536	4	61,800	1	51,086	1
2399	Other current liabilities		2,847	-	3,303	-	2,794	-
21XX	Total current liabilities		1,189,917	26	922,496	20	987,043	21
Non-current liabilities								
2540	Long-term borrowings	6(13)	281,675	6	407,200	9	438,100	9
2570	Deferred income tax liabilities		275,304	6	293,604	7	349,579	8
2580	Lease liabilities - non-current	7	29,757	1	6,503	-	11,599	-
2600	Other non-current liabilities		5,765	-	5,340	-	6,060	-
25XX	Total non-current liabilities		592,501	13	712,647	16	805,338	17
2XXX	Total liabilities		1,782,418	39	1,635,143	36	1,792,381	38
Equity								
Equity attributable to owners of the parent								
Share capital								
3110	Ordinary share	6(15)	892,631	19	892,631	20	892,631	19
Capital surplus								
3200	Capital surplus	6(16)	1,666,262	36	1,728,746	38	1,728,746	37
Retained earnings								
3310	Legal reserve	6(17)	143,906	3	143,906	3	143,906	3
3320	Special reserve		362,837	8	423,294	9	423,294	9
3350	(Accumulated deficit)							
	unappropriated retained earnings		(8,378)	-	(32,785)	(1)	(49,385)	(1)
Other equity interest								
3400	Other equity interest	6(18)	(378,911)	(8)	(362,836)	(8)	(357,144)	(8)
31XX	Equity attributable to owners of the parent		2,678,347	58	2,792,956	61	2,782,048	59
36XX	Non-controlling interests		153,208	3	147,973	3	148,649	3
3XXX	Total equity		2,831,555	61	2,940,929	64	2,930,697	62
Significant contingent liabilities and unrecognised contract commitments								
Significant events after the balance sheet date								
3X2X	Total liabilities and equity		\$ 4,613,973	100	\$ 4,576,072	100	\$ 4,723,078	100

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE SIX MONTHS ENDED JUNE 30, 2023 AND 2022
(Expressed in thousands of New Taiwan dollars except for (loss) earnings per share amount)
(UNAUDITED)

Items	Notes	Three months ended June 30				Six months ended June 30			
		2023		2022		2023		2022	
		AMOUNT	%	AMOUNT	%	AMOUNT	%	AMOUNT	%
4000 Operating revenue	6(19) and 7	\$ 849,280	100	\$ 762,035	100	\$ 1,545,837	100	\$ 1,588,258	100
5000 Operating costs	6(6)(24)(25)	(699,438)	(82)	(688,959)	(90)	(1,279,299)	(83)	(1,450,907)	(91)
5900 Gross profit		<u>149,842</u>	<u>18</u>	<u>73,076</u>	<u>10</u>	<u>266,538</u>	<u>17</u>	<u>137,351</u>	<u>9</u>
Operating expenses	6(24)(25)								
6100 Selling and marketing expenses		(26,548)	(3)	(25,178)	(3)	(51,073)	(3)	(50,545)	(3)
6200 General and administrative expenses		(75,465)	(9)	(71,687)	(10)	(152,042)	(10)	(136,794)	(9)
6300 Research and development expenses		(15,419)	(2)	(10,711)	(1)	(25,294)	(2)	(19,453)	(1)
6450 Impairment (loss) gain	12(2)	(1,421)	-	(17)	-	(1,854)	(-)	58	-
6000 Total operating expenses		<u>(118,853)</u>	<u>(14)</u>	<u>(107,593)</u>	<u>(14)</u>	<u>(230,263)</u>	<u>(15)</u>	<u>(206,734)</u>	<u>(13)</u>
6900 Net operating profit (loss)		<u>30,989</u>	<u>(4)</u>	<u>(34,517)</u>	<u>(4)</u>	<u>36,275</u>	<u>2</u>	<u>(69,383)</u>	<u>(4)</u>
Non-operating income and expenses									
7100 Interest income	6(20)	7,668	1	6,210	1	15,138	1	11,694	1
7010 Other income	6(21)	2,045	-	8,835	1	4,294	-	10,541	1
7020 Other gains and losses	6(22)	(525)	-	4,930	-	22	-	4,747	-
7050 Finance costs	6(23) and 7	(2,743)	(1)	(2,261)	-	(5,349)	-	(4,796)	(1)
7060 Share of loss of associates accounted for under equity method	6(7)	-	-	(555)	-	(1,757)	-	(740)	-
7000 Total non-operating income and expenses		<u>6,445</u>	<u>-</u>	<u>17,159</u>	<u>2</u>	<u>12,348</u>	<u>1</u>	<u>21,446</u>	<u>1</u>
7900 Profit (loss) before income tax		<u>37,434</u>	<u>4</u>	<u>(17,358)</u>	<u>(2)</u>	<u>48,623</u>	<u>3</u>	<u>(47,937)</u>	<u>(3)</u>
7950 Income tax expense	6(26)	(20,991)	(2)	(8,690)	(1)	(46,637)	(3)	(20,543)	(1)
8200 Profit (loss) for the period		<u>\$ 16,443</u>	<u>2</u>	<u>\$ 26,048</u>	<u>(3)</u>	<u>\$ 1,986</u>	<u>-</u>	<u>\$ 68,480</u>	<u>(4)</u>
Other comprehensive income (loss)									
Components of other comprehensive income (loss) that will not be reclassified to profit or loss									
8316 Unrealised losses from investments in equity instruments measured at fair value through other comprehensive income	6(3)	\$ -	-	\$ -	-	\$ 7,906	1	\$ -	-
Components of other comprehensive income (loss) that will be reclassified to profit or loss									
8361 Financial statements translation differences of foreign operations		(\$ 49,699)	(6)	(\$ 25,468)	(3)	(\$ 43,462)	(3)	\$ 76,727	5
8300 Other comprehensive income (loss) for the period		<u>(\$ 49,699)</u>	<u>(6)</u>	<u>(\$ 25,468)</u>	<u>(3)</u>	<u>(\$ 35,556)</u>	<u>(2)</u>	<u>\$ 76,727</u>	<u>5</u>
8500 Total comprehensive income (loss) for the period		<u>(\$ 33,256)</u>	<u>(4)</u>	<u>(\$ 51,516)</u>	<u>(6)</u>	<u>(\$ 33,570)</u>	<u>(2)</u>	<u>\$ 8,247</u>	<u>1</u>
Profit (loss) attributable to:									
8610 Owners of the parent		\$ 22,882	3	(\$ 24,665)	(3)	\$ 11,023	1	(\$ 64,051)	(4)
8620 Non-controlling interests		(6,439)	(1)	(1,383)	-	(9,037)	(1)	(4,429)	-
		<u>\$ 16,443</u>	<u>2</u>	<u>(\$ 26,048)</u>	<u>(3)</u>	<u>\$ 1,986</u>	<u>-</u>	<u>(\$ 68,480)</u>	<u>(4)</u>
Comprehensive income (loss) attributable to:									
8710 Owners of the parent		(\$ 28,815)	(3)	(\$ 55,631)	(6)	(\$ 25,346)	(1)	\$ 2,098	-
8720 Non-controlling interests		(4,441)	(1)	4,115	-	(8,224)	(1)	6,149	1
		<u>(\$ 33,256)</u>	<u>(4)</u>	<u>(\$ 51,516)</u>	<u>(6)</u>	<u>(\$ 33,570)</u>	<u>(2)</u>	<u>\$ 8,247</u>	<u>1</u>
Earnings (loss) per share (in dollars)	6(27)								
9750 Basic earnings (loss) per share		<u>\$ 0.25</u>		<u>(\$ 0.28)</u>		<u>\$ 0.12</u>		<u>(\$ 0.72)</u>	
9850 Diluted earnings per share		<u>\$ 0.25</u>		<u>\$ -</u>		<u>\$ 0.12</u>		<u>\$ -</u>	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE SIX MONTHS ENDED JUNE 30, 2023 AND 2022
(Expressed in thousands of New Taiwan dollars)
(UNAUDITED)

		Equity attributable to owners of the parent									
		Retained Earnings					Other equity interest				
						(Accumulated deficit) unappropriated retained earnings	Financial statements translation differences of foreign operations	Unrealised losses from financial assets at fair value through other comprehensive income			
Notes		Share capital ordinary share	Capital surplus	Legal reserve	Special reserve				Total	Non-controlling interests	Total equity
<u>Six months ended June 30, 2022</u>											
		\$ 892,631	\$ 1,728,746	\$ 126,142	\$ 385,192	\$ 177,648	(\$ 395,093)	(\$ 28,200)	\$ 2,887,066	\$ 142,500	\$ 3,029,566
		-	-	-	-	(64,051)	-	-	(64,051)	(4,429)	(68,480)
6(18)		-	-	-	-	-	64,149	-	66,149	10,578	76,727
		-	-	-	-	(64,051)	64,149	-	2,098	6,149	8,247
6(17)											
		-	-	17,764	-	(17,764)	-	-	-	-	-
		-	-	-	38,102	(38,102)	-	-	-	-	-
		-	-	-	-	(107,116)	-	-	(107,116)	-	(107,116)
		\$ 892,631	\$ 1,728,746	\$ 143,906	\$ 423,294	(\$ 49,385)	(\$ 328,944)	(\$ 28,200)	\$ 2,782,048	\$ 148,649	\$ 2,930,697
<u>Six months ended June 30, 2023</u>											
		\$ 892,631	\$ 1,728,746	\$ 143,906	\$ 423,294	(\$ 32,785)	(\$ 334,636)	(\$ 28,200)	\$ 2,792,956	\$ 147,973	\$ 2,940,929
		-	-	-	-	11,023	-	-	11,023	(9,037)	1,986
6(18)		-	-	-	-	-	(44,275)	7,906	(36,369)	813	(35,556)
		-	-	-	-	11,023	(44,275)	7,906	(25,346)	(8,224)	(33,570)
6(17)											
		-	-	-	(60,457)	60,457	-	-	-	-	-
		-	-	-	-	(26,779)	-	-	(26,779)	-	(26,779)
6(16)		-	(62,484)	-	-	-	-	-	(62,484)	-	(62,484)
6(3)		-	-	-	-	(20,294)	-	20,294	-	-	-
6(28)		-	-	-	-	-	-	-	-	13,459	13,459
		\$ 892,631	\$ 1,666,262	\$ 143,906	\$ 362,837	(\$ 8,378)	(\$ 378,911)	\$ -	\$ 2,678,347	\$ 153,208	\$ 2,831,555

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE SIX MONTHS ENDED JUNE 30, 2023 AND 2022
(Expressed in thousands of New Taiwan dollars)
(UNAUDITED)

		Six months ended June 30	
	Notes	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit (loss) before tax		\$ 48,623	(\$ 47,937)
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(8)(24)	65,009	61,402
Depreciation charges on right-of-use assets	6(9)(24)	15,577	11,340
Expected credit loss (gain)	12(2)	1,854	(58)
Amortisation charges	6(24)	4,850	9,251
Interest income	6(20)	(15,138)	(11,694)
Gain on disposal of property, plant, and equipment	6(22)	(3,442)	(251)
Gain on disposal of associates accounted for under equity method	6(7)(22)	(3,542)	-
Gain on lease modification	6(22)	-	(211)
Loss on financial assets and liabilities at fair value through profit or loss	6(2)(22)	20,068	26,598
Interest expense	6(23)	5,349	4,796
Share of loss of associates accounted for under equity method	6(7)	1,757	740
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable		(3,142)	(3,893)
Accounts receivable		(107,560)	131,308
Accounts receivable to related parties		-	(74)
Other receivables		(2,144)	30,642
Inventories		28,944	43,175
Other current assets		(12,998)	80,008
Net defined benefit asset		(69)	(26)
Changes in operating liabilities			
Contract liabilities - current		(2,345)	11,899
Notes payable		-	187
Accounts payable		85,089	(160,194)
Accounts payable to related parties		(14)	-
Other payables		(4,598)	(73,115)
Other payables to related parties		(38)	-
Other current liabilities		(501)	562
Other non-current liabilities		427	480
Cash inflow generated from operations		122,016	114,935
Interest received		17,202	14,780
Interest paid		(4,700)	(4,407)
Income tax paid		(88,784)	(12,162)
Net cash flows from operating activities		45,734	113,146

(Continued)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE SIX MONTHS ENDED JUNE 30, 2023 AND 2022
(Expressed in thousands of New Taiwan dollars)
(UNAUDITED)

	<u>Notes</u>	<u>Six months ended June 30</u>	
		<u>2023</u>	<u>2022</u>
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Acquisition of financial assets at amortised cost		(\$ 17,646)	\$ -
Proceeds from disposal of financial assets at amortised cost		53,009	225,427
Acquisition of financial assets at fair value through profit or loss		(15,711)	(4,229)
Disposal of financial assets at fair value through profit or loss		1,703	8,232
Disposal of financial assets at fair value through other comprehensive income (loss) – equity instruments		7,906	-
The acquisition of subsidiaries (net of cash acquired)		(31,771)	-
Acquisition of property, plant, and equipment	6(29)	(97,258)	(55,630)
Disposal of property, plant, and equipment		4,511	272
Decrease (increase) in guarantee deposits paid		776	(951)
Decrease (increase) in prepayments for equipment		1,691	(9,612)
Increase in prepayments for investment		-	(12,000)
Net cash flows (used in) from investing activities		<u>(92,790)</u>	<u>151,509</u>
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Proceeds from short-term borrowings		280,000	435,000
Repayments of short-term borrowings		(295,000)	(710,000)
Repayments of long-term borrowings	6(30)	(33,347)	(20,185)
Payments of lease liabilities	6(30)	(15,176)	(10,861)
Net cash flows used in financing activities		<u>(63,523)</u>	<u>306,046)</u>
Effect of exchange rate changes on cash and cash equivalents		(22,912)	30,366
Net decrease in cash and cash equivalents		(133,491)	(11,025)
Cash and cash equivalents at beginning of period		<u>1,711,918</u>	<u>1,783,667</u>
Cash and cash equivalents at end of period		<u>\$ 1,578,427</u>	<u>\$ 1,772,642</u>

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE SIX MONTHS ENDED JUNE 30, 2023 AND 2022

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)
(UNAUDITED)

1. History and Organization

Jochu Technology Co., Ltd. (the “Company”) was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the “Group”) are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. (“Yourui”) and Jingrong Machinery Co., Ltd. (“Jingrong”), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorisation for Issuance of the Financial Statements and Procedures for Authorisation

These consolidated financial statements were authorised for issuance by the Board of Directors on August 11, 2023.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS”) that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2023 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IAS 1, ‘Disclosure of accounting policies’	January 1, 2023
Amendments to IAS 8, ‘Definition of accounting estimates’	January 1, 2023
Amendments to IAS 12, ‘Deferred tax related to assets and liabilities arising from a single transaction’	January 1, 2023

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

None.

(3) IFRSs issued by International Accounting Standards Board (“IASB”) but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 10 and IAS 28, ‘Sale or contribution of assets between an investor and its associate or joint venture’	To be determined by IASB
Amendments to IFRS 16, ‘Lease liability in a sale and leaseback’	January 1, 2024
IFRS 17, ‘Insurance contracts’	January 1, 2023
Amendments to IFRS 17, ‘Insurance contracts’	January 1, 2023
Amendment to IFRS 17, ‘Initial application of IFRS 17 and IFRS 9 – comparative information’	January 1, 2023
Amendments to IAS 1, ‘Classification of liabilities as current or non-current’	January 1, 2024
Amendments to IAS 1, ‘Non-current liabilities with covenants’	January 1, 2024
Amendments to IAS 12, ‘International tax reform pillar two model rules’	May 23, 2023

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

4. Summary of Significant Accounting Policies

Except for the compliance statement, basis of preparation and basis of consolidation set out below, the rest of the significant accounting policies applied in the preparation of these consolidated financial statements are the same as those disclosed in Note 4 to the consolidated financial statements as of and for the year ended December 31, 2022. The policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

- A. These consolidated financial statements of the Group have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the FSC.
- B. These consolidated financial statements are to be read in conjunction together with the consolidated financial statements for the year ended December 31, 2022.

(2) Basis of preparation

- A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:
 - (a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.
 - (b) Financial assets at fair value through other comprehensive income.
 - (c) Defined benefit assets recognised based on the net amount of pension fund assets less present value of defined benefit obligation.

B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”) requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

A. Basis for preparation of consolidated financial statements:

The basis for preparation of these consolidated financial statements is the same as that for the preparation of the consolidated financial statements for the year ended December 31, 2022.

B. Subsidiaries included in the consolidated financial statements:

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			June 30, 2023	December 31, 2022	June 30, 2022	
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	100%	
	LEGIUN TECHNOLOGY CO., LTD. (LEGIUN)	Sales of medical devices	100%	100%	100%	
	eBio International Co., Ltd. (eBio International)	Investment holding	52.02%	9.81%	9.81%	Note
JOCHU BVI	SUZHOU JOCHU PRECISION METAL CO., LTD. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	100%	

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			June 30, 2023	December 31, 2022	June 30, 2022	
JOCHU BVI	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	65%	
eBio International	eBio technology Inc.	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	100%	100%	100%	Note
JOCHU GLOBAL	JOCHU INTERNATIONAL (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	100%	
JOCHU INTERNATIONAL	JOCHU TECHNOLOGY (XIAMEN) LTD. (XIAMEN JOCHU)	Investment holding	66.67%	66.67%	66.67%	
PIH	JOCHU VIETNAM	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	33.33%	

Note : On February 17, 2023, the company's Board of Directors resolved to increase investment in eBio International. This was achieved by purchasing shares from existing shareholders of eBio International and participating in the cash increase of eBio International. In the first quarter of 2023, the company's stake in eBio International increased from 9.81% to 52.02%, thereby gaining control over eBio International and its subsidiaries.

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

(4) Property, plant and equipment

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at each financial year-end. If expectations for the assets' residual values and useful lives differ from previous estimates or the patterns of consumption of the assets' future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, 'Accounting Policies, Changes in Accounting Estimates and Errors', from the date of the change. The estimated useful lives of property, plant and equipment are as follows:

Buildings and structures	5 years ~ 36 years
Machinery and equipment	3 years ~ 6 years
Transportation equipment	3 years ~ 5 years
Office equipment	2 years ~ 6 years
Leasehold improvements	5 years
Other equipment	3 years ~ 6 years

(5) Intangible assets

A. Trademarks

Separately acquired trademarks are stated at historical cost. Trademarks acquired in a business combination are recognised at fair value at the acquisition date. Trademarks have a finite useful life and are amortised on a straight-line basis over their estimated useful lives of 8.25 years.

B. Goodwill

Goodwill arises in a business combination accounted for by applying the acquisition method.

C. Other intangible assets, mainly patents, are amortised on a straight-line basis over their estimated useful lives of 20 years.

(6) Intangible assets

A. The recoverable amounts of goodwill, intangible assets with an indefinite useful life and intangible assets that have not yet been available for use are evaluated periodically. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. Impairment loss of goodwill previously recognised in profit or loss shall not be reversed in the following years

- B. For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash-generating units, or groups of cash-generating units, that is/are expected to benefit from the synergies of the business combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

(7) Income tax

- A. The interim period income tax expense is recognised based on the estimated average annual effective income tax rate expected for the full financial year applied to the pretax income of the interim period, and the related information is disclosed accordingly.
- B. If a change in tax rate is enacted or substantively enacted in an interim period, the Group recognises the effect of the change immediately in the interim period in which the change occurs. The effect of the change on items recognised outside profit or loss is recognised in other comprehensive income or equity while the effect of the change on items recognised in profit or loss is recognised in profit or loss.

(8) Business combination

- A. The Group uses the acquisition method to account for business combinations. The consideration transferred for an acquisition is measured as the fair value of the assets transferred, liabilities incurred or assumed and equity instruments issued at the acquisition date, plus the fair value of any assets and liabilities resulting from a contingent consideration arrangement. All acquisition-related costs are expensed as incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. For each business combination, the Group measures at the acquisition date components of non-controlling interests in the acquiree that are present ownership interests and entitle their holders to the proportionate share of the entity's net assets in the event of liquidation at either fair value or the present ownership instruments proportionate share in the recognised amounts of the acquiree's identifiable net assets. All other non-controlling interests should be measured at the acquisition-date fair value.
- B. The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the fair value of any previous equity interest in the acquiree over the fair value of the identifiable assets acquired and the liabilities assumed is recorded as goodwill at the acquisition date. If the total of consideration transferred, non-controlling interest in the acquiree recognised and the fair value of previously held equity interest in the acquiree is less than the fair value of the identifiable assets acquired and the liabilities assumed, the difference is recognised directly in profit or loss on the acquisition date.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The additional disclosures are set out below. For the rest of the information, please refer to Note 5 in the consolidated financial statements for the year ended December 31, 2022.

Critical accounting estimates and assumptions

Fair value assessment of goodwill and identifiable assets:

The assessment of goodwill relies on the subjective judgment of the Group, including the identification of cash-generating units and the allocation of assets, liabilities, and goodwill to the respective cash-generating units, as well as the determination of the fair value of identifiable assets acquired in business combinations. The fair value assessment of goodwill and identifiable assets is subject to retrospective adjustments pending the receipt of expert valuation reports, as stated in Note 6 (28).

6. Details of Significant Accounts

(1) Cash and cash equivalents

	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>
Cash on hand and petty cash	\$ 650	\$ 329	\$ 505
Checking accounts and demand deposits	290,002	348,249	298,099
Time deposits	<u>1,287,775</u>	<u>1,363,340</u>	<u>1,474,038</u>
	<u>\$ 1,578,427</u>	<u>\$ 1,711,918</u>	<u>\$ 1,772,642</u>

- A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.
- B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets and liabilities at fair value through profit or loss

	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>
Current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$ -	\$ 2,475	\$ -
Non-current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Private equity fund	\$ 21,000	\$ 12,000	\$ -
Valuation adjustment	1,780	460	-
	<u>\$ 22,780</u>	<u>\$ 12,460</u>	<u>\$ -</u>
Current items:			
Financial liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$ 18,961	\$ 5,447	\$ 16,653

A. Amounts recognised in profit or loss in relation to financial assets and liabilities at fair value through profit or loss are listed below:

	<u>Three months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	(\$ 24,681)	(\$ 31,501)
Private equity fund	357	-
	<u>(\$ 24,324)</u>	<u>(\$ 31,501)</u>
	<u>Six months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	(\$ 21,388)	(\$ 26,598)
Private equity fund	1,320	-
	<u>(\$ 20,068)</u>	<u>(\$ 26,598)</u>

- B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

June 30, 2023			
Derivative financial	Contract amount		Maturity date
Instruments	(notional principal)		
	(in thousands)		
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	11,710	2023.07.26~2024.01.30
Sell USD Buy NTD	USD	3,410	2023.07.10~2023.09.08
December 31, 2022			
Derivative financial	Contract amount		Maturity date
Instruments	(notional principal)		
	(in thousands)		
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	13,870	2023.01.01~2023.07.26
Sell USD Buy NTD	USD	3,810	2023.01.10~2023.03.10
June 30, 2022			
Derivative financial	Contract amount		Maturity date
Instruments	(notional principal)		
	(in thousands)		
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	14,980	2022.07.26~2023.03.24
Sell USD Buy NTD	USD	2,580	2022.07.08~2022.08.10

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

- C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.
- D. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income (loss)

Items	June 30, 2023	December 31, 2022	June 30, 2022
Non-current items:			
Equity instruments			
Unlisted stocks			
W Company	\$ 3,114	\$ 3,071	\$ 2,972
I Company	-	28,200	28,200
	3,114	31,271	31,172
Valuation adjustment	-	(28,200)	(28,200)
	<u>\$ 3,114</u>	<u>\$ 3,071</u>	<u>\$ 2,972</u>

- A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at June 30, 2023, December 31, 2022 and June 30, 2022, the fair value of such investments were the same as the book value.
- B. Amounts recognised in other comprehensive income in relation to the financial assets at fair value through other comprehensive income are listed below:

	Six months ended June 30,	
	2023	2022
Equity instruments at fair value through other comprehensive income (loss)		
Fair value changes recognised in other comprehensive income	\$ 7,906	\$ -
Cumulative losses reclassified to retained earnings due to derecognition of financial assets	\$ 20,294	\$ -

- C. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortised cost

Items	June 30, 2023	December 31, 2022	June 30, 2022
Current items:			
Restricted assets	\$ 431	\$ 1,764	\$ 11,771
Time deposits with original maturity period of more than three months	17,238	52,024	25,721
	<u>\$ 17,669</u>	<u>\$ 53,788</u>	<u>\$ 37,492</u>
Non-current item:			
Restricted assets	\$ 406	\$ 403	\$ 399

- A. Amounts recognised in profit or loss in relation to financial assets at amortised cost are listed below:

		Three months ended June 30,	
		2023	2022
Interest income	\$	38	\$ 553

		Six months ended June 30,	
		2023	2022
Interest income	\$	354	\$ 877

- B. As at June 30, 2023, December 31, 2022 and June 30, 2022, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortised cost held by the Group was the book value at the balance sheet date.
- C. Details of the Group's financial assets at amortised cost pledged to others as collateral are provided in Note 8.
- D. The counterparties of the Group's investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	June 30, 2023	December 31, 2022	June 30, 2022
Notes receivable	\$ 32,064	\$ 29,661	\$ 28,367
Accounts receivable	\$ 1,090,747	\$ 1,005,675	\$ 1,044,697
Less: Allowance for uncollectible accounts	(3,353)	(1,573)	(17)
	<u>\$ 1,087,394</u>	<u>\$ 1,004,102</u>	<u>\$ 1,044,680</u>

- A. As at June 30, 2023, December 31, 2022 and June 30, 2022, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2022, the balance of receivables from contracts with customers amounted to \$1,179,004.
- B. The ageing analysis of notes receivable and accounts receivable is as follows:

		June 30, 2023	
		Notes receivable	Accounts receivable
Not past due	\$	32,064	\$ 1,056,226
Up to 90 days		-	31,168
Over 91 days		-	3,353
	<u>\$</u>	<u>32,064</u>	<u>\$ 1,090,747</u>

	December 31, 2022		June 30, 2022	
	Notes	Accounts	Notes	Accounts
	receivable	receivable	receivable	receivable
Not past due	\$ 29,661	\$ 965,267	\$ 28,367	\$ 991,877
Up to 90 days	-	38,835	-	52,803
Over 91 days	-	1,573	-	17
	<u>\$ 29,661</u>	<u>\$ 1,005,675</u>	<u>\$ 28,367</u>	<u>\$ 1,044,697</u>

The above ageing analysis was based on past due date.

C. As at June 30, 2023, December 31, 2022 and June 30, 2022, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Inventories

	June 30, 2023	December 31, 2022	June 30, 2022
Raw materials	\$ 96,319	\$ 80,344	\$ 93,414
Work in progress	38,277	42,013	48,478
Finished goods	<u>145,647</u>	<u>187,379</u>	<u>162,862</u>
	280,243	309,736	304,754
Less: Allowance for valuation loss	(55,963)	(56,873)	(49,613)
	<u>\$ 224,280</u>	<u>\$ 252,863</u>	<u>\$ 255,141</u>

The cost of inventories recognised as expense for the year:

	Three months ended June 30,	
	2023	2022
Cost of inventories sold	\$ 717,498	\$ 700,459
Loss on decline in market value	(885)	4,458
Loss on disposal of inventory	4,306	5,877
Revenue from sale of scraps	(21,481)	(21,835)
	<u>\$ 699,438</u>	<u>\$ 688,959</u>
	Six months ended June 30,	
	2023	2022
Cost of inventories sold	\$ 1,311,354	\$ 1,471,803
Gain (loss) on decline in market value	(5,037)	13,344
Loss on disposal of inventory	9,344	10,738
Revenue from sale of scraps	(36,362)	(44,978)
	<u>\$ 1,279,299</u>	<u>\$ 1,450,907</u>

During the period from January 1 to June 30, 2023, the Group realized recovery gains as a result of the sale and put into production of previously impaired and stagnant inventory

(7) Investments accounted for under equity method

	2023	2022
At January 1	\$ 8,442	\$ -
Addition of investments accounted for under equity method	-	11,700
Disposal of investments accounted for under equity method	(6,685)	-
Share of loss of investments accounted for under equity method	(1,757)	(740)
At June 30	<u>\$ -</u>	<u>\$ 10,960</u>

	June 30, 2023	December 31, 2022	June 30, 2022
Associate			
eBio International Co., Ltd.	<u>\$ -</u>	<u>\$ 8,442</u>	<u>\$ 10,960</u>

- A. The Company obtained a seat on the board of eBio International Co., Ltd. on February 14, 2022. As a result of the election, the Company hereafter has significant influence over eBio International Co., Ltd., and accordingly, the investment account was reclassified from financial assets at fair value through other comprehensive income to investments accounted for under equity method.
- B. The company acquired a portion of the equity of eBio International Co., Ltd. in February 2023 and participated in the cash increase of eBio International Co., Ltd. in March of the same year. As a result, the company's shareholding in eBio International Co., Ltd. increased from 9.81% to 52.02%, and the company obtained control over it. In accordance with IFRS 3 "Business Combinations," the previously held equity interest in eBio International Co., Ltd. was remeasured at fair value as of the acquisition date, resulting in a disposal gain of \$3,542, which was recognised in profit and loss.

(8) Property, plant and equipment

	2023								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 903,115	\$ 995,083	\$ 21,269	\$ 11,823	\$ 14,404	\$ 160,450	\$ 188,108	\$ 2,607,395
Accumulated depreciation	- (	492,718)	(822,822)	(18,862)	(10,610)	(11,436)	(140,471)	-	(1,496,919)
Accumulated impairment	- (	14,674)	(14,947)	-	-	-	-	-	(29,621)
	<u>\$ 313,143</u>	<u>\$ 395,723</u>	<u>\$ 157,314</u>	<u>\$ 2,407</u>	<u>\$ 1,213</u>	<u>\$ 2,968</u>	<u>\$ 19,979</u>	<u>\$ 188,108</u>	<u>\$ 1,080,855</u>
Opening net book amount as at January 1	\$ 313,143	\$ 395,723	\$ 157,314	\$ 2,407	\$ 1,213	\$ 2,968	\$ 19,979	\$ 188,108	\$ 1,080,855
Additions (including reclassifications)	-	23,404	57,518	3,863	198	-	17,453	7,223	109,659
Acquisition of business combination	-	-	3,321	-	461	-	1,478	-	5,260
Transfer	-	178,613	8,269	-	-	-	-	(186,882)	-
	- (	41)	(896)	(159)	-	-	-	-	(1,069)
Depreciation charge	- (	24,908)	(30,529)	(983)	(486)	(566)	(7,537)	-	(65,009)
Net exchange differences	- (	1,646)	(1,104)	(100)	(5)	(1)	(401)	(1,144)	(4,401)
Closing net book amount as at June 30	<u>\$ 313,143</u>	<u>\$ 571,145</u>	<u>\$ 193,920</u>	<u>\$ 5,028</u>	<u>\$ 1,381</u>	<u>\$ 2,401</u>	<u>\$ 30,972</u>	<u>\$ 7,305</u>	<u>\$ 1,125,295</u>
At June 30									
Cost	\$ 313,143	\$ 1,092,020	\$ 984,969	\$ 23,628	\$ 13,266	\$ 14,404	\$ 177,205	\$ 7,305	\$ 2,625,940
Accumulated depreciation	- (	506,201)	(776,841)	(18,600)	(11,885)	(12,003)	(146,233)	-	(1,471,763)
Accumulated impairment	- (	14,674)	(14,208)	-	-	-	-	-	(28,882)
	<u>\$ 313,143</u>	<u>\$ 571,145</u>	<u>\$ 193,920</u>	<u>\$ 5,028</u>	<u>\$ 1,381</u>	<u>\$ 2,401</u>	<u>\$ 30,972</u>	<u>\$ 7,305</u>	<u>\$ 1,125,295</u>

2022									
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 897,491	\$ 934,963	\$ 21,443	\$ 10,850	\$ 13,533	\$ 142,503	\$ 167,384	\$ 2,501,310
Accumulated depreciation	-	(445,745)	(766,640)	(18,881)	(9,534)	(10,094)	(130,289)	-	(1,381,183)
Accumulated impairment	-	(14,674)	(4,038)	-	-	-	-	-	(18,712)
	<u>\$ 313,143</u>	<u>\$ 437,072</u>	<u>\$ 164,285</u>	<u>\$ 2,562</u>	<u>\$ 1,316</u>	<u>\$ 3,439</u>	<u>\$ 12,214</u>	<u>\$ 167,384</u>	<u>\$ 1,101,415</u>
Opening net book amount as at January 1	\$ 313,143	\$ 437,072	\$ 164,285	\$ 2,562	\$ 1,316	\$ 3,439	\$ 12,214	\$ 167,384	\$ 1,101,415
Additions (including reclassifications)	-	1,552	24,566	1,290	787	760	10,721	26,532	66,208
	-	-	-	-	-	-	(21)	-	(21)
Depreciation charge	-	(23,967)	(30,570)	(762)	(596)	(675)	(4,832)	-	(61,402)
Net exchange differences	-	3,971	1,561	73	2	-	357	13,533	19,497
Closing net book amount as at June 30	<u>\$ 313,143</u>	<u>\$ 418,628</u>	<u>\$ 159,842</u>	<u>\$ 3,163</u>	<u>\$ 1,509</u>	<u>\$ 3,524</u>	<u>\$ 18,439</u>	<u>\$ 207,449</u>	<u>\$ 1,125,697</u>
At June 30									
Cost	\$ 313,143	\$ 903,520	\$ 960,973	\$ 22,083	\$ 11,704	\$ 14,294	\$ 154,459	\$ 207,449	\$ 2,589,923
Accumulated depreciation	-	(470,218)	(798,384)	(19,920)	(10,195)	(10,770)	(136,020)	-	(1,445,507)
Accumulated impairment	-	(14,674)	(4,045)	-	-	-	-	-	(18,719)
	<u>\$ 313,143</u>	<u>\$ 418,628</u>	<u>\$ 159,842</u>	<u>\$ 3,163</u>	<u>\$ 1,509</u>	<u>\$ 3,524</u>	<u>\$ 18,439</u>	<u>\$ 207,499</u>	<u>\$ 1,125,697</u>

- A. Amount of borrowing costs capitalised as part of property, plant and equipment and the range of the interest rates for such capitalisation: None.
- B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 15~36 years and 5~25 years, respectively.
- C. The Group has recognised impairment losses in the year of occurrence due to the fact that the recoverable amount of certain property, plant and equipment used for the production of certain products, as part of a product transformation plan, is lower than their carrying amount.
- D. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.

(9) Leasing arrangements — lessee

- A. The Group leases various assets including land, buildings, business vehicles, and multifunction printers. Rental contracts for land are typically made for periods of 46 to 50 years, while the others are made for periods of 1 to 3 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.
- B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office, and business vehicles. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.
- C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount		
	June 30, 2023	December 31, 2022	June 30, 2022
Land	\$ 74,037	\$ 74,689	\$ 74,843
Buildings	50,605	13,456	18,831
Business vehicles	3,546	4,252	4,957
	<u>\$ 128,188</u>	<u>\$ 92,397</u>	<u>\$ 98,631</u>

	Depreciation charge	
	Three months ended June 30,	
	2023	2022
Land	\$ 411	\$ 435
Buildings	7,405	3,089
Business vehicles	353	353
	<u>\$ 8,199</u>	<u>\$ 3,877</u>

	Depreciation charge	
	Six months ended June 30,	
	2023	2022
Land	\$ 880	\$ 851
Buildings	13,991	9,829
Business vehicles	706	660
	<u>\$ 15,577</u>	<u>\$ 11,340</u>

- D. For the three months and six months ended June 30, 2023 and 2022, the additions to right-of-use assets were \$0, \$555, \$44,436 and \$1,288, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

		Three months ended June 30,	
		2023	2022
<u>Items affecting profit or loss</u>			
Interest expense on lease liabilities	\$	349	\$ 269
Expense on short-term lease contracts		2,456	6,188
Expense on leases of low-value assets		16	12
Expense on variable lease payments		104	25
Gain on lease modification		-	-
		Six months ended June 30,	
		2023	2022
<u>Items affecting profit or loss</u>			
Interest expense on lease liabilities	\$	669	\$ 599
Expense on short-term lease contracts		4,853	8,583
Expense on leases of low-value assets		28	28
Expense on variable lease payments		198	40
Gain on lease modification		-	211

F. For the three months and six months ended June 30, 2023 and 2022, the Group's total cash outflow for leases were \$13,604, \$9,826, \$20,255 and \$19,512, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognised in profit or loss in the period in which the event or condition that triggers those payments occurs.

(10) Short-term borrowings

<u>Type of borrowings</u>	<u>June 30, 2023</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>40,000</u>	1.83%~2.02%	None
<u>Type of borrowings</u>	<u>December 31, 2022</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>55,000</u>	1.55%	None
<u>Type of borrowings</u>	<u>June 30, 2022</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Secured borrowings	\$ <u>20,000</u>	1.20%	Financial assets at amortised cost - current

(11) Accounts payable

	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>
Accounts payable	\$ 494,940	\$ 439,803	\$ 400,888
Estimated accounts payable	<u>61,151</u>	<u>41,206</u>	<u>36,403</u>
	<u>\$ 556,091</u>	<u>\$ 481,009</u>	<u>\$ 437,291</u>

(12) Other payables

	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>
Salaries and bonus payable	\$ 75,749	\$ 92,264	\$ 74,613
Insurance payable	72,307	72,751	75,218
Payable upon distribution of cash from capital surplus	62,484	-	-
Mold cost payable	36,543	33,524	38,133
Dividends payable	26,779	-	107,116
Equipment payable	11,762	8,308	17,607
Repairs and maintenance payable	4,349	7,867	3,877
Packing payable	1,721	6,960	14,149
Freights charges payable	6,239	5,593	8,359
Consumption fee payable	2,723	3,309	3,813
Interest payable	191	211	144
Construction payable	8,947	-	40
Employees' compensation and directors' remuneration payable	2,039	-	25,746
Others	<u>49,183</u>	<u>35,349</u>	<u>31,211</u>
	<u>\$ 361,016</u>	<u>\$ 266,136</u>	<u>\$ 400,026</u>

(13) Long-term borrowings

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>June 30, 2023</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from June 24, 2020 to December 28, 2028; interest is payable monthly.	1.85%~2.13%	Please refer to Note 8	\$ 380,100
Unsecured borrowings	Borrowing period is from May 26, 2020 to March 1, 2028; interest is payable monthly.	1.83%~3.09%	None	68,111
				<u>448,211</u>
Less: Current portion				(166,536)
				<u>\$ 281,675</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>December 31, 2022</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from June 24, 2020 to December 28, 2028; interest is payable monthly.	1.60%~2.10%	Please refer to Note 8	\$ 411,000
Unsecured borrowings	Borrowing period is from April 6, 2021 to March 1, 2028; interest is payable monthly.	1.70%	None	58,000
				469,000
Less: Current portion				(61,800)
				\$ 407,200

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>June 30, 2022</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from September 7, 2018 to December 28, 2028; interest is payable monthly.	1.22%~1.48%	Please refer to Note 8	\$ 431,186
Unsecured borrowings	Borrowing period is from April 6, 2021 to March 1, 2028; interest is payable monthly.	1.43%	None	58,000
				489,186
Less: Current portion				(51,086)
				\$ 438,100

(14) Pensions

A. Defined benefit pension plan

- (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.
- (b) For the aforementioned pension plan, the Group recognised pension costs of (\$34), (\$13), (\$69) and (\$26) for the three months and six months ended June 30, 2023 and 2022, respectively.
- (c) The company has a long-term employee benefits plan, under which employees are rewarded with a bonus, a certificate of appreciation, or a trophy upon completing every five years of service. For the employee benefits plan, the Company recognised pension costs of \$214, \$240, \$427, and \$480 for the three months and six months ended June 30, 2023 and 2022, respectively.
- (d) The Company has acquired the approval from the Hsinchu County Government to suspend continuous contribution to the defined benefit pension plan for 2023 and 2022.

B. Defined contribution pension plan

- (a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the "New Plan") under the Labor Pension Act (the "Act"), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees' monthly salaries and wages to the employees' individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.

- (b) The Company's mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People's Republic of China (PRC) are based on certain percentage of employees' monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.
- (c) The pension costs under the defined contribution pension plans of the Group for the three months and six months ended June 30, 2023 and 2022 were \$8,238, \$7,857, \$15,460 and \$15,580, respectively.

(15) Share capital

- A. As of June 30, 2023, the Company's authorised capital was \$2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was \$892,631 with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.
- B. As at June 30, 2023 and 2022, the Company's ordinary shares outstanding are both 89,263 thousand shares.

(16) Capital surplus

	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>
Share premium	\$ 1,549,988	\$ 1,612,472	\$ 1,612,472
From business combinations	31,797	31,797	31,797
Treasury share transactions	76,571	76,571	76,571
Changes in ownership interests in subsidiaries	<u>7,906</u>	<u>7,906</u>	<u>7,906</u>
	<u>\$ 1,666,262</u>	<u>\$ 1,728,746</u>	<u>\$ 1,728,746</u>

- A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalised mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.
- B. On April 11, 2023, the company's board of directors resolved a cash distribution of \$62,484 from the capital surplus (\$0.7 per share).

(17) Retained earnings

- A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorised to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.
- B. The Company's dividend policy is summarised below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.
- C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.
- D. Special reserve
 - (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.
 - (b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1010012865, dated April 6, 2012, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings

- (a) The appropriations of 2021 earnings had been resolved at the annual shareholders' meeting on May 27, 2022. Details are summarised below:

	2021	
	Amount	Dividends per share (in dollars)
Legal reserve	\$ 17,764	
Special reserve	38,102	
Cash dividends	107,116	\$ 1.20

- (b) The appropriations of 2022 earnings had been resolved at the annual shareholders' meeting on May 26, 2023. Details are summarised below:

	2022	
	Amount	Amount
Reversal of Special reserve	(\$ 60,457)	
Cash dividends	26,779	\$ 0.30

(18) Other equity items

	2023		
	Unrealised gains (losses) on valuation	Currency translation	Total
At January 1	(\$ 28,200)	(\$ 334,636)	(\$ 362,836)
Revaluation	7,906	-	7,906
Disposal of financial assets at fair value through other comprehensive income (loss)			
– equity instruments	20,294	-	20,294
Currency translation differences:			
–Group	-	(44,275)	(44,275)
At June 30	<u>\$ -</u>	<u>(\$ 378,911)</u>	<u>(\$ 378,911)</u>

	2022		
	Unrealised gains (losses) on valuation	Currency translation	Total
At January 1	(\$ 28,200)	(\$ 395,093)	(\$ 423,293)
Currency translation differences:			
–Group	-	66,149	66,149
At June 30	<u>(\$ 28,200)</u>	<u>(\$ 328,944)</u>	<u>(\$ 357,144)</u>

(19) Operating revenue

	<u>Three months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Revenue from contracts with customers	\$ <u>849,280</u>	\$ <u>762,035</u>
	<u>Six months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Revenue from contracts with customers	\$ <u>1,545,837</u>	\$ <u>1,588,258</u>

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

<u>Three months ended June 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 267,745	\$ 586,704	\$ 854,449
Inter-segment revenue	(164)	(5,005)	(5,169)
Revenue from external customer contracts	\$ <u>267,581</u>	\$ <u>581,699</u>	\$ <u>849,280</u>

<u>Three months ended June 30, 2022</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 274,462	\$ 490,353	\$ 764,815
Inter-segment revenue	(146)	(2,634)	(2,780)
Revenue from external customer contracts	\$ <u>274,316</u>	\$ <u>487,719</u>	\$ <u>762,035</u>

<u>Six months ended June 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 519,860	\$ 1,036,370	\$ 1,556,230
Inter-segment revenue	(2,275)	(8,118)	(10,393)
Revenue from external customer contracts	\$ <u>517,585</u>	\$ <u>1,028,252</u>	\$ <u>1,545,837</u>

<u>Six months ended June 30, 2022</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 548,458	\$ 1,046,512	\$ 1,594,970
Inter-segment revenue	(1,583)	(5,129)	(6,712)
Revenue from external customer contracts	\$ <u>546,875</u>	\$ <u>1,041,383</u>	\$ <u>1,588,258</u>

B. Contract liabilities

(a) The Group has recognised the following revenue-related contract liabilities:

	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>	<u>January 1, 2022</u>
Contract liabilities:	\$ <u>842</u>	\$ <u>3,187</u>	\$ <u>12,401</u>	\$ <u>502</u>

(b) Revenue recognised that was included in the contract liability balance at the beginning of the year is summarised below:

	Three months ended June 30,	
	2023	2022
Revenue recognised	\$ -	\$ 223
	Six months ended June 30,	
	2023	2022
Revenue recognised	\$ 187	\$ 502

(20) Interest income

	Three months ended June 30,	
	2023	2022
Interest income from bank deposits	\$ 7,618	\$ 5,641
Interest income from financial assets at amortised cost	38	553
Other interest income	12	16
	<u>\$ 7,668</u>	<u>\$ 6,210</u>
	Six months ended June 30,	
	2023	2022
Interest income from bank deposits	\$ 14,755	\$ 10,796
Interest income from financial assets at amortised cost	354	877
Other interest income	29	21
	<u>\$ 15,138</u>	<u>\$ 11,694</u>

(21) Other income

	Three months ended June 30,	
	2023	2022
Subsidy income	\$ 174	\$ 6,222
Solar revenue	607	541
Other income	1,264	2,072
	<u>\$ 2,045</u>	<u>\$ 8,835</u>
	Six months ended June 30,	
	2023	2022
Subsidy income	\$ 721	\$ 6,520
Solar revenue	1,043	924
Other income	2,530	3,097
	<u>\$ 4,294</u>	<u>\$ 10,541</u>

(22) Other gains and losses

		Three months ended June 30,	
		2023	2022
(Loss) gain on disposal of property, plant and equipment	(\$	406)	\$ 251
Foreign exchange gains		24,998	36,683
Loss on financial assets and liabilities at fair value through profit or loss	(	24,324)	(31,501)
Miscellaneous disbursements	(	793)	(503)
	(\$	525)	(\$ 4,930)
		Six months ended June 30,	
		2023	2022
Gain on disposal of associates accounted for under equity method	\$	3,542	\$ -
Gain on disposal of property, plant and equipment		3,442	251
Gain on lease modification		-	211
Foreign exchange gains		13,960	35,433
Loss on financial assets and liabilities at fair value through profit or loss	(	20,068)	(26,598)
Miscellaneous disbursements	(	854)	(4,550)
	\$	22	\$ 4,747

(23) Finance costs

		Three months ended June 30,	
		2023	2022
Interest expense from bank borrowings	\$	2,394	\$ 1,992
Interest expense from lease liabilities		349	269
	\$	2,743	\$ 2,261
		Six months ended June 30,	
		2023	2022
Interest expense from bank borrowings	\$	4,680	\$ 4,197
Interest expense from lease liabilities		669	599
	\$	5,349	\$ 4,796

(24) Expenses by nature

		Three months ended June 30,	
		2023	2022
Employee benefit expense	\$	192,536	\$ 181,150
Depreciation charges on property, plant and equipment		34,489	30,881
Depreciation charges on right-of-use assets		8,199	3,877
Amortisation charges on molds		2,271	6,048

	Six months ended June 30,	
	2023	2022
Employee benefit expense	\$ 360,549	\$ 371,722
Depreciation charges on property, plant and equipment	65,009	61,402
Depreciation charges on right-of-use assets	15,577	11,340
Amortisation charges on molds	4,850	9,251

(25) Employee benefit expense

	Three months ended June 30,	
	2023	2022
Wages and salaries	\$ 162,277	\$ 153,269
Labour and health insurance fees	11,769	11,244
Pension costs	8,418	8,084
Other personnel expenses	10,072	8,553
	<u>\$ 192,536</u>	<u>\$ 181,150</u>

	Six months ended June 30,	
	2023	2022
Wages and salaries	\$ 302,333	\$ 314,928
Labour and health insurance fees	22,997	23,061
Pension costs	15,818	16,034
Other personnel expenses	19,401	17,699
	<u>\$ 360,549</u>	<u>\$ 371,722</u>

- A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees' compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.
- B. (a) For the three months and six months ended June 30, 2023, employees' compensation were accrued at \$1,567; directors' remuneration were accrued at \$472. The aforementioned amounts were recognised in salary expenses.
- (b) For the three months and six months ended June 30, 2022, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.
- (c) Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(26) Income tax

A. Components of income tax expense

	<u>Three months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Current tax:		
Current tax for the period	\$ 50,778	\$ 12,066
Prior year income tax under estimation	<u>6,425</u>	<u>2,879</u>
Total current tax	<u>57,203</u>	<u>14,945</u>
Deferred tax:		
Origination and reversal of temporary differences	(<u>36,212</u>)	(<u>6,255</u>)
Income tax expense	<u>\$ 20,991</u>	<u>\$ 8,690</u>
	<u>Six months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Current tax:		
Current tax for the period	\$ 58,980	\$ 22,133
Prior year income tax under estimation	<u>6,813</u>	<u>2,494</u>
Total current tax	<u>65,793</u>	<u>24,627</u>
Deferred tax:		
Origination and reversal of temporary differences	(<u>19,156</u>)	(<u>4,084</u>)
Income tax expense	<u>\$ 46,637</u>	<u>\$ 20,543</u>

B. The Company's income tax returns through 2020 have been assessed and approved by the Tax Authority.

C. LEGIUN's income tax returns through 2021 have been assessed and approved by the Tax Authority.

(27) Earnings (loss) per share

	<u>Three months ended June 30, 2023</u>		
	<u>Profit for</u>	<u>Weighted average</u>	<u>Profit per share</u>
	<u>the period</u>	<u>number of ordinary</u>	<u>(in dollars)</u>
		<u>shares outstanding</u>	
		<u>(shares in thousands)</u>	
<u>Basic and diluted loss per share</u>			
Profit attributable to the parent	<u>\$ 22,882</u>	<u>89,263</u>	<u>\$ 0.25</u>
<u>Diluted earnings per share</u>			
Profit attributable to the parent	\$ 22,882	89,263	
Assumed conversion of all dilutive potential ordinary shares			
-Employees' compensation	<u>-</u>	<u>71</u>	
	<u>\$ 22,882</u>	<u>89,334</u>	<u>\$ 0.25</u>

Three months ended June 30, 2022			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 24,665)	89,263	(\$ 0.28)

Six months ended June 30, 2023			
	Profit for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Profit per share (in dollars)
<u>Basic and diluted loss per share</u>			
Profit attributable to the parent	\$ 11,023	89,263	\$ 0.12

<u>Diluted earnings per share</u>			
Profit attributable to the parent	\$ 11,023	89,263	\$ 0.12
Assumed conversion of all dilutive potential ordinary shares			
-Employees' compensation	-	71	
	\$ 11,023	89,334	\$ 0.12

Six months ended June 30, 2022			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 64,051)	89,263	(\$ 0.72)

(28) Business Combination

- A. During the period from February to March of the fiscal year 2023, the company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of \$59,414, thereby participating in its cash increase plan. As a result, the company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company. The eBio International Group operates medical businesses in Taiwan, including a pressure ulcer prevention system. The company expects that this acquisition will enhance its position in these markets and lead to cost reduction through economies of scale.

- B. The information regarding the consideration paid for the acquisition of eBio International Group, the assets acquired, and the liabilities assumed at the fair value as of the acquisition date, as well as the information on non-controlling interests' share in the identifiable net assets as of the acquisition date, is as follows:

	<u>March 20, 2023</u>
The consideration received	
Cash	\$ 25,850
The fair value of the equity previously held in eBio International on the acquisition date	43,791
The non-controlling interest's proportion of the identifiable net assets of the acquiree	<u>13,459</u>
	<u>\$ 83,100</u>
The fair value of identifiable assets acquired and liabilities assumed	
Cash and cash equivalents	27,643
Notes and accounts receivable, net	67
Other receivables	27
Inventories	3,023
Prepayments	3,475
Prepaid expenses and temporary payments	692
Residual tax credit	1,690
Property, plant and equipment	5,260
	6,484
Intangible assets	105
Guarantee deposits paid	309
Accounts payable	(12)
Accrued payroll	(739)
Other accrued expenses payable	(865)
Other current liabilities	(66)
	(6,484)
Long-term borrowings(including current portion)	(<u>12,558</u>)
Identifiable net assets	<u>28,051</u>
Goodwill	<u>\$ 55,049</u>

- C. The fair value of the identifiable assets and liabilities acquired is provisionally determined as stated above. The net assets are subject to retrospective adjustment upon obtaining the valuation report.
- D. The Company held a 9.81% equity interest in eBio International Co., Ltd. prior to the business combination, which was remeasured at fair value resulting in a realized gain of \$3,542, please refer to note 6(7) for details.

- E. Since the merger with eBio International Co., Ltd. on March 20, 2023, and eBio International Co., Ltd. contributed operating revenue of \$322 and a pre-tax net loss of (\$5,453). However, if we assume that eBio International had been included in the consolidation since January 1, 2023, the Group's operating revenue and pre-tax net income would have amounted to \$1,545,940 and \$44,579, respectively.

(29) Supplemental cash flow information

A. Investing activities with partial cash payments:

	<u>Six months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Purchase of property, plant and equipment	\$ 109,659	\$ 66,208
Add: Opening balance of payable on equipment	8,308	6,426
Opening balance of payable on construction	-	643
Less: Ending balance of payable on equipment	(11,762)	(17,607)
Ending balance of payable on construction	(8,947)	(40)
Cash paid during the year	<u>\$ 97,258</u>	<u>\$ 55,630</u>

B. Financing activities which have on impact on cash flow:

	<u>Six months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Dividends payable	<u>\$ 89,263</u>	<u>\$ 107,116</u>

(30) Changes in liabilities from financing activities

	<u>2023</u>				
	<u>Short-term</u>	<u>Long-term</u>	<u>Lease</u>	<u>Guarantee</u>	
	<u>borrowings</u>	<u>borrowings</u>	<u>liabilities</u>	<u>deposit</u>	<u>Total</u>
At January 1	\$ 55,000	\$ 469,000	\$ 10,088	\$ 905	\$ 534,993
Changes in cash flow from financing activities	(15,000)	(33,347)	(15,176)	-	(63,523)
Changes in other non-cash items	-	-	45,105	-	45,105
Acquisition of business combination	-	12,558	6,484	-	19,042
Impact of changes in foreign exchange rate	-	-	6,267	(2)	6,265
At June 30	<u>\$ 40,000</u>	<u>\$ 448,211</u>	<u>\$ 52,768</u>	<u>\$ 903</u>	<u>\$ 541,882</u>

	2022				
	Short-term	Long-term	Lease	Guarantee	
	<u>borrowings</u>	<u>borrowings</u>	<u>liabilities</u>	<u>deposit</u>	<u>Total</u>
At January 1	\$ 295,000	\$ 509,371	\$ 40,564	\$ 902	\$ 845,837
Changes in cash flow from financing activities	(275,000)	(20,185)	(10,861)	-	(306,046)
Changes in other non-cash items	-	-	6,888	-	6,888
Impact of changes in foreign	-	-	(507)	3	(504)
At June 30	<u>\$ 20,000</u>	<u>\$ 489,186</u>	<u>\$ 36,084</u>	<u>\$ 905</u>	<u>\$ 546,175</u>

7. Related Party Transactions

(1) Names of related parties and relationship

<u>Names of related parties</u>	<u>Relationship with the Group</u>
eBio Technology Inc.(Note)	Other related party
Shin Zu Shing Co., Ltd.	Other related party

Note : The consolidated entity included in the Group since March 20, 2023.

(2) Significant related party transactions

A. Operating revenue:

	<u>Three months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Sales of goods:		
Other related parties	<u>\$ -</u>	<u>\$ -</u>
	<u>Six months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Sales of goods:		
Other related parties	<u>\$ -</u>	<u>\$ 630</u>

There is no significant difference between the sales price and credit terms from non-related parties.

B. Acquisition of financial assets

During March 2023, the Company participated in the cash increase of eBio International Co., Ltd.

Please refer to Note 6(28) for further details

C. Lease transactions-lessee

Six months ended June 30, 2023

- (a) The Company leases a property from Shin Zu Shing Co., Ltd., with a lease term from January 1, 2023, to December 31, 2023. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to \$44,436. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,657.

(b) Right-of-use assets

A. Carrying amount

	<u>June 30, 2023</u>
Buildings and structures	<u>\$ 37,030</u>

B. Depreciation charge

	<u>Three months ended June 30, 2023</u>
Buildings and structures	<u>\$ 3,703</u>
	<u>Six months ended June 30, 2023</u>
Buildings and structures	<u>\$ 7,406</u>

(c) Lease liabilities

A. Carrying amount

	<u>June 30, 2023</u>
Shin Zu Shing Co., Ltd.	<u>\$ 37,162</u>

B. Interest expense

	<u>Three months ended June 30, 2023</u>
Shin Zu Shing Co., Ltd.	<u>\$ 142</u>
	<u>Six months ended June 30, 2023</u>
Shin Zu Shing Co., Ltd.	<u>\$ 298</u>

Six months ended June 30, 2022

(a) Since March 26, 2022, the Company leases buildings and parking spaces from other related parties. Rental contracts are made for periods of March 26, 2022 to August 31, 2022. Rents are paid annually, and the checks for each month's rent were rendered within 15 days after the signing of the contract and be cash out on a monthly basis.

(b) Rent expense

	Three months ended June 30, 2022
Other related parties	<u>\$ 4,490</u>
	Six months ended June 30, 2022
Other related parties	<u>\$ 4,490</u>

D. Contract liabilities

	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>
Other related parties	<u>\$ -</u>	<u>\$ 3,000</u>	<u>\$ 3,000</u>

The contract liabilities to other related parties represents unearned sales revenue.

(3) Key management compensation

	Three months ended June 30,	
	2023	2022
Short-term employee benefits	\$ 5,225	\$ 4,668
Post-employment benefits	150	150
	<u>\$ 5,375</u>	<u>\$ 4,818</u>
	Six months ended June 30,	
	2023	2022
Short-term employee benefits	\$ 9,868	\$ 9,256
Post-employment benefits	294	294
	<u>\$ 10,162</u>	<u>\$ 9,550</u>

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

<u>Pledged asset</u>	<u>Book value</u>			<u>Purpose</u>
	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>	
Financial assets at amortised cost - current	\$ 431	\$ 1,764	\$ 11,711	Bank secured borrowings and customs guarantee
Financial assets at amortised cost - non-current	406	403	399	Contract bond
Property, plant, and equipment				
Land	273,059	273,059	273,059	Bank secured borrowings
Buildings and structures	151,310	157,453	166,197	Bank secured borrowings
Machinery and equipment	-	-	62,311	Bank secured borrowings
Other non-current assets				
Guarantee deposits paid	7,299	7,816	8,130	Rental deposit

9. Significant Contingent Liabilities and Unrecognised Contract Commitments

Commitments

As of June 30, 2023, the Group had opened unused letters of credit for importing inventories and equipment of \$32,306.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

On August 11, 2023, the Company's board of directors resolved to conduct a cash capital increase for JOCHU VIETNAM through JOCHU BVI and further through PIH. The Company plans to invest USD \$6,500 thousands, and after this investment, the Company will indirectly hold a 65% stake in both PIH and JOCHU VIETNAM.

12. Others

(1) Capital management

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2022.

(2) Financial instruments

A. Financial instruments by category

	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>
<u>Financial assets</u>			
Financial assets mandatorily measured at fair value through profit or loss (current and non-current)	\$ 22,780	\$ 14,935	\$ -
Financial assets at fair value through other comprehensive income	3,114	3,071	2,972
Financial assets at amortised cost			
Cash and cash equivalents	1,578,427	1,711,918	1,772,642
Financial assets at amortised cost (current and non-current)	18,075	54,191	37,891
Notes receivable, net	32,064	29,661	28,367
Accounts receivable, net	1,087,394	1,004,102	1,044,680
Accounts receivable-related party	-	-	74
Other receivables	114,872	117,267	115,182
Guarantee deposits paid	<u>7,299</u>	<u>7,816</u>	<u>8,130</u>
	<u>\$ 2,864,025</u>	<u>\$ 2,942,961</u>	<u>\$ 3,009,938</u>
	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>
<u>Financial liabilities</u>			
Financial liabilities mandatorily measured at fair value through profit or loss	\$ 18,961	\$ 5,447	\$ 16,653
Financial liabilities at amortised cost			
Short-term borrowings	40,000	55,000	20,000
Notes payable	-	-	187
Accounts payable	556,091	481,009	437,291
Accounts payable-related party	-	14	-
Other payables	361,016	266,136	400,026
Other payables-related party	210	270	-
Long-term borrowings (including current portion)	448,211	469,000	489,186
Guarantee deposits received	<u>903</u>	<u>905</u>	<u>905</u>
	<u>\$ 1,425,392</u>	<u>\$ 1,277,781</u>	<u>\$ 1,364,248</u>
Lease liabilities (current and non-current)	<u>\$ 52,768</u>	<u>\$ 10,088</u>	<u>\$ 22,308</u>

B. Financial risk management policies

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2022.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.
- ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

June 30, 2023			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 4,082	31.1400	\$ 127,113
USD:RMB	13,385	7.2258	416,809
USD:VND	115	23,800	3,581
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 238	31.1400	\$ 7,411
USD:RMB	3,552	7.2258	110,609
USD:VND	249	23,800	7,754

December 31, 2022			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 8,815	30.7100	\$ 270,709
USD:RMB	14,930	6.9646	458,500
USD:VND	894	23,612	27,455
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 410	30.7100	\$ 12,591
USD:RMB	2,783	6.9646	85,466
USD:VND	159	23,612	4,883
June 30, 2022			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 4,295	29.7200	\$ 127,647
USD:RMB	15,696	6.7114	466,485
USD:VND	1,206	23,110	35,842
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 353	29.7200	\$ 10,491
USD:RMB	2,326	6.7114	69,129
USD:VND	455	23,110	13,523

- iii. Total exchange gains (losses), including realised and unrealised, arising from significant foreign exchange variation on the monetary items held by the Group for the three months and six months ended June 30, 2023 and 2022, amounted to \$24,998, \$36,683, \$13,960, and \$35,433, respectively.

iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

Six months ended June 30, 2023				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 1,271	\$	-
USD:RMB	1%	4,168		-
USD:VND	1%	36		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 74	\$	-
USD:RMB	1%	1,106		-
USD:VND	1%	78		-
Six months ended June 30, 2022				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 1,276	\$	-
USD:RMB	1%	4,665		-
USD:VND	1%	358		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 105	\$	-
USD:RMB	1%	691		-
USD:VND	1%	135		-

Cash flow and fair value interest rate risk

- i. The Group's main interest rate risk arises from long-term borrowings with variable rates, which expose the Group to cash flow interest rate risk. For the six months ended June 30, 2023 and 2022, the Group's borrowings at variable rate were mainly denominated in New Taiwan dollars.

- ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the six months ended June 30, 2023 and 2022 would have increased/decreased by \$ 3,586 and \$ 3,913, respectively. The main factor is that changes in interest expense result from floating rate borrowings.

(b) Credit risk

- i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to default by the counterparties and financial guarantees provided by the Group arises from:
 - (i) The carrying amount of the respective recognised financial assets as stated in the balance sheets;
 - (ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.
- ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Group reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.
- iii. The Group adopts the following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
- iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.
- v. The Group wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

- vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.
- vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On June 30, 2023, December 31, 2022 and June 30, 2022, the provision matrix is as follows:

<u>June 30, 2023</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,056,226	\$ -
Up to 90 days	0%	31,168	-
Over 91 days	100%	<u>3,353</u>	<u>3,353</u>
		<u>\$ 1,090,747</u>	<u>\$ 3,353</u>

<u>December 31, 2022</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 965,267	\$ -
Up to 90 days	0%	38,835	-
Over 91 days	100%	<u>1,573</u>	<u>1,573</u>
		<u>\$ 1,005,675</u>	<u>\$ 1,573</u>

<u>June 30, 2022</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 991,877	\$ -
Up to 90 days	0%	52,803	-
Over 91 days	100%	<u>17</u>	<u>17</u>
		<u>\$ 1,044,697</u>	<u>\$ 17</u>

- viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable are as follows:

	<u>2023</u>	<u>2022</u>
At January 1	\$ 1,573	\$ 74
Provision for impairment	1,854	-
Reversal of impairment loss	-	(58)
Effect of foreign rate exchange	(74)	1
At June 30	<u>\$ 3,353</u>	<u>\$ 17</u>

(c) Liquidity risk

- i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group's Corporate Treasury function. The Group's Corporate Treasury function monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.
- ii. The Group has the following undrawn borrowing facilities:

	<u>June 30, 2023</u>	<u>December 31, 2022</u>	<u>June 30, 2022</u>
Floating rate:			
Expiring within one year	\$ 2,195,554	\$ 2,134,373	\$ 2,284,918
Expiring beyond one year	-	-	-
Fixed rate:			
Expiring within one year	\$ -	\$ -	\$ -
Expiring beyond one year	-	-	-

- iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	<u>Less than 1 year</u>	<u>Between 1 and 2 years</u>	<u>Between 2 and 5 years</u>	<u>Over 5 years</u>
<u>June 30, 2023</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 40,065	\$ -	\$ -	\$ -
Accounts payable	556,091	-	-	-
Other payables	361,016	-	-	-
Other payables-related parties	210	-	-	-
Lease liabilities	23,800	18,555	11,634	-
Long-term borrowings (including current portion)	174,004	74,011	206,984	27,551
Guarantee deposits received	903	-	-	-
	<u>\$1,156,089</u>	<u>\$ 92,566</u>	<u>\$ 218,618</u>	<u>\$ 27,551</u>

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>December 31, 2022</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 55,077	\$ -	\$ -	\$ -
Accounts payable	481,009	-	-	-
Accounts payable-related parties	14	-	-	-
Other payables	266,136	-	-	-
Other payables-related parties	270	-	-	-
Lease liabilities	5,537	4,777	1,832	-
Long-term borrowings (including current portion)	69,915	169,022	206,019	61,398
Guarantee deposits received	905	-	-	-
	<u>\$ 878,863</u>	<u>\$ 173,799</u>	<u>\$ 207,851</u>	<u>\$ 61,398</u>
	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>June 30, 2022</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 20,078	\$ -	\$ -	\$ -
Notes payable	187	-	-	-
Accounts payable	437,291	-	-	-
Other payables	400,026	-	-	-
Lease liabilities	11,428	8,952	2,909	-
Long-term borrowings (including current portion)	57,610	168,031	202,949	94,349
Guarantee deposits received	905	-	-	-
	<u>\$ 927,525</u>	<u>\$ 176,983</u>	<u>\$ 205,858</u>	<u>\$ 94,349</u>

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment in equity investment without active market is included in Level 3.

- B. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, accounts receivable, accounts receivable-related parties, other receivables, guarantee deposits paid, short-term borrowings, notes payable, accounts payable, other payables, lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.
- C. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:
- (a) The related information on the nature of the assets and liabilities is as follows:

<u>June 30, 2023</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Private equity fund	\$ -	\$ -	\$ 22,780	\$ 22,780
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,114	3,114
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 25,894</u>	<u>\$ 25,894</u>

Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 18,961	\$ -	\$ 18,961

<u>December 31, 2022</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 2,475	\$ -	\$ 2,475
Private equity fund	-	-	12,460	12,460
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,071	3,071
	<u>\$ -</u>	<u>\$ 2,475</u>	<u>\$ 15,531</u>	<u>\$ 18,006</u>

Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 5,447	\$ -	\$ 5,447

<u>June 30, 2022</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
Recurring fair value measurements				
Financial assets at fair value through other comprehensive income				
Equity instruments	\$ -	\$ -	\$ 2,972	\$ 2,972
Financial assets at fair value through other comprehensive income				
Equity instruments	\$ -	\$ 16,653	\$ -	\$ 16,653

(b) The methods and assumptions the Group used to measure fair value are as follows:

- i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.
- ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.
- iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.
- iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.

D. For the six months ended June 30, 2023 and 2022, there was no transfer between Level 1 and Level 2.

E. The following chart is the movement of Level 3 for the six months ended June 30, 2023 and 2022:

	Equity instrument	
	2023	2022
At January 1	\$ 15,531	\$ 14,468
Recognised in other comprehensive income	7,906	-
Recognised in profit or loss	1,320	-
Acquired during the period	9,000	-
Disposal during the period	(7,906)	-
Transfers out from level 3	-	(11,700)
Effect of exchange rate changes	43	204
At June 30	<u>\$ 25,894</u>	<u>\$ 2,972</u>

F. Information relating to transfer out amounting to \$0 and \$11,700 from Level 3 for the six months ended June 30, 2023 and 2022 is provided in Note 6(7).

G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	<u>June 30, 2023</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 3,114	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	22,780	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
	<u>December 31,2022</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 3,071	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	12,460	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	<u>June 30, 2022</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 2,972	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

- A. Loans to others: Refer to table 1.
- B. Provision of endorsements and guarantees to others: Refer to table 2.
- C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 3.
- D. Acquisition or sale of the same security with the accumulated cost exceeding \$300 million or 20% of the Company's paid-in capital: None.
- E. Acquisition of real estate reaching \$300 million or 20% of paid-in capital or more: None.
- F. Disposal of real estate reaching \$300 million or 20% of paid-in capital or more: None.
- G. Purchases or sales of goods from or to related parties reaching \$100 million or 20% of paid-in capital or more: None.
- H. Receivables from related parties reaching \$100 million or 20% of paid-in capital or more: None.
- I. Trading in derivative instruments undertaken during the reporting periods: Refer to Notes 6(2), 6(22) and 12(2).
- J. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 4.

(3) Information on investments in Mainland China

- A. Basic information: Refer to table 5.
- B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

(4) Major shareholders information

Major shareholders information: Refer to table 6.

14. Segment Information

(1) General information

A. Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.

B. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

<u>Three months ended June 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 267,581	\$ 581,699	\$ 849,280
Inter-segment revenue (Note)	164	5,005	5,169
Total segment revenue	<u>\$ 267,745</u>	<u>\$ 586,704</u>	<u>\$ 854,449</u>
Segment (loss) income	(\$ 51,930)	\$ 82,919	<u>\$ 30,989</u>

<u>Three months ended June 30, 2022</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 274,316	\$ 487,719	\$ 762,035
Inter-segment revenue (Note)	146	2,634	2,780
Total segment revenue	<u>\$ 274,462</u>	<u>\$ 490,353</u>	<u>\$ 764,815</u>
Segment (loss) income	(\$ 46,055)	\$ 11,538	(\$ 34,517)

<u>Six months ended June 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 517,585	\$ 1,028,252	\$ 1,545,837
Inter-segment revenue (Note)	2,275	8,118	10,393
Total segment revenue	<u>\$ 519,860</u>	<u>\$ 1,036,370</u>	<u>\$ 1,556,230</u>
Segment (loss) income	(\$ 110,580)	\$ 146,855	<u>\$ 36,275</u>

<u>Six months ended June 30, 2022</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 546,875	\$ 1,041,383	\$ 1,588,258
Inter-segment revenue (Note)	1,583	5,129	6,712
Total segment revenue	<u>\$ 548,458</u>	<u>\$ 1,046,512</u>	<u>\$ 1,594,970</u>
Segment (loss) income	(\$ 100,596)	\$ 31,213	(\$ 69,383)

Note: Sales between segments are carried out at arm's length.

(3) Reconciliation for segment income (loss)

- A. The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.
- B. A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the three months and six months ended June 30, 2023 and 2022 is provided as follows:

	<u>Three months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Reportable segments gain (loss)	\$ 30,989	(\$ 34,517)
Total non-operating income and expenses	<u>6,445</u>	<u>17,159</u>
Gain (loss) income before tax from continuing operations	<u>\$ 37,434</u>	<u>(\$ 17,358)</u>
	<u>Six months ended June 30,</u>	
	<u>2023</u>	<u>2022</u>
Reportable segments gain (loss)	\$ 36,275	(\$ 69,383)
Total non-operating income and expenses	<u>12,348</u>	<u>21,446</u>
Gain (loss) income before tax from continuing operations	<u>\$ 48,623</u>	<u>(\$ 47,937)</u>

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Six months ended June 30, 2023

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No. (Note 1)	Creditor	Borrower	General ledger account	Is a related party	Maximum outstanding balance during the year ended June 30, 2023	Balance at June 30, 2022 (Note 2)	Actual amount drawn down	Interest rate	Nature of loan	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral		Limit on loans granted to a single party (Note 1)	Ceiling on total loans granted (Note 1)	Footnote
0	The Company	eBio International	Other receivables - related parties	Yes	\$ 5,000	\$ -	\$ -	-	-	\$ -	-	-	-	\$ -	\$ 535,669	\$ 1,071,339	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Endorsements/Guarantees provided

Six months ended June 30, 2023

Table 2

Expressed in thousands of NTD

(Except as otherwise indicated)

No.	Endorser/Guar	Endorsee/Guarantee		Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 2)	Maximum Amount Endorsed/ Guaranteed During the Period (Note 3)	Outstanding Endorsement/ Guarantee at the End of the Period (Note 4)	Actual Amount Borrowed (Note 5)	Amount Endorsed/ Guaranteed by Collateral	Ratio of Accumulated Endorsement/Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 2)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries (Note 6)	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent (Note 6)	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China (Note 6)	Footnote
		Name	Relationship (Note 1)											
0	The Company	JOCHU VIETNAM	2	\$ 1,339,174	\$ 46,710	\$ 46,710	\$ -	無	1.74%	\$ 2,678,347	Y	N	N	(Note 2)

Note 1: Relationship between the endorser/guarantor and the party being endorsed/guaranteed is classified into the following seven categories; fill in the number of category each case belongs to:

- (1) Having business relationship.
- (2) The endorser/guarantor parent company owns directly more than 50% voting shares of the endorsed/ guaranteed subsidiary.
- (3) The endorsed/guaranteed company owns directly and indirectly more than 50% voting shares of the endorser/guarantor parent company.
- (4) The endorser/guarantor parent company owns directly and indirectly more than 90% voting shares of the endorsed/guaranteed company.
- (5) Mutual guarantee of the trade made by the endorsed/guaranteed company or joint contractor as required under the construction contract.
- (6) Due to joint venture, all shareholders provide endorsements/guarantees to the endorsed/guaranteed company in proportion to its ownership.
- (7) The performance guarantees for the sale of pre-sales contracts under the Consumer Protection Law are jointly guaranteed.

Note 2: The relevant regulations for "endorsements/guarantees limit" of the Company are as follows:

- (1) The endorsement and guarantee limit for a single enterprise, except for subsidiaries in which the Company directly or indirectly holds more than 50% of the common stock, shall not exceed 50% of the net worth.
For other cases, it shall not exceed 10% of the net worth.
- (2) The total amount of endorsements and guarantees provided by the Company to external parties shall not exceed 100% of the net worth.

Note 3: Fill in the year-to-date maximum outstanding balance of endorsements/guarantees provided as of the reporting period.

Note 4: The guarantee limit at June 30, of the Company for JOCHU TECHNOLOGY (VIETNAM) CO., LTD is USD \$1,500 thousands.

Note 5: There was no utilization of the endorsed guarantee limit during the current period end.

Note 6: Fill in 'Y' for those cases of provision of endorsements/guarantees by listed parent company to subsidiary and provision by subsidiary to listed parent company, and provision to the party in Mainland China.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
June 30, 2023

Table 3

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of June 30, 2023				
				Number of shares	Book value	Ownership	Fair value	Footnote
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current		\$ 22,780	3%	\$ 22,780	
JOCHU BVI	Preferred shares of W Company	-	Financial assets at fair value through other comprehensive income- non-current	61	3,114	-	3,114	USD 100
JOCHU BVI	Preferred shares of PIH	Subsidiary	Financial assets at fair value through other comprehensive income- non-current	30	934	-	934	USD 30

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Information on investees
Six months ended June 30, 2023

Table 4

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held as at June 30, 2023			Net profit (loss) of the investee for the six months ended June 30, 2023	Investment income (loss) recognised by the Company for the six months ended June 30, 2023		Footnote
				Balance as at June 30, 2023	Balance as at March 31, 2022	Number of shares	Ownership					
							(%)	Book value				
The Company	JOCHU BVI	British Virgin Islands	Investment holding	\$ 957,549	\$ 957,549	30,565	100%	\$ 2,132,451	\$ 109,016	\$ 110,001		
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	42,851 (	5,389) (	5,361)		
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	71,114	11,700	6,331	52.02%	66,804 (	11,254) (	4,594)		
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	44,564	44,564	44,564		
JOCHU BVI	PIH	Singapore	Investment holding	286,858	286,858	9,848	65%	264,393 (	18,344) (	11,924)		
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	578,081	44,564	44,564		
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	437,133	437,133	Not applicable	100%	404,334 (	18,204) (	18,204)		

Table 4

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Six months ended June 30, 2023

Table 5

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated	Amount remitted from Taiwan		Accumulated	Investment income			Accumulated	Footnote	
				amount of	to Mainland China/		amount	(loss) recognised		amount			
				remittance from	Amount remitted back		of remittance	by the Company		of investment			
				Taiwan to	to Taiwan for the six months		from Taiwan to	Net income of	held by the	for the six months	Book value of		income
				as of January 1,	Remitted to	Remitted back	as of June 30,	six months ended	(direct or	30, 2023	Mainland China as of	Taiwan as of	
				2023	China	to Taiwan	2023	June 30, 2023	indirect)	(Note 2)	June 30, 2023	June 30, 2023	
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	\$ 569,170	Note 1(2)A	\$ 367,541	\$ -	\$ -	\$ 367,541	\$ 76,317	100%	\$ 76,317	\$ 1,272,275	\$ 1,340,626	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	Note 1(2)B	328,912	-	-	328,912	66,842	100%	66,842	867,069	389,774	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of June 30, 2023		Investment Amount Authorised by the Investment Commission, MOEA		Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
	\$		\$		\$
The Company	696,453 (USD21,500)		862,275 (USD28,801)		1,698,933

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:

- (1) Directly invest in a company in Mainland China.
- (2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
 - A. Invested through Jochu Investment Ltd.
 - B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
- (3) Others

Note 2: In the 'Investment income (loss) recognised by the Company for the six months ended June 30, 2023' column:

- (1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
- (2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
 - A. The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
 - B. The financial statements were audited by R.O.C. parent company's CPA.
 - C. Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009, the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Major shareholders information

June 30, 2023

Table 6

Name of major shareholders	Shares		Ownership (%)
	Number of shares held (Ordinary share)	Number of shares held (preferred share)	
Heng Xing Investment Co., Ltd.	9,124,000	-	10.22%

Note 1: The information of major shareholders presented in this table is provided by the Taiwan Depository & Clearing Corporation based on the number of ordinary shares and preferred shares held by shareholders with ownership of 5% or greater, that have been issued without physical registration (included treasury shares) by the Group as of the last business day for the current quarter.

The share capital in the consolidated financial statements may differ from the actual number of shares that have been issued without physical registration because of different preparation basis.

Note 2: If a shareholder delivers their shareholdings to the trust, the above information will be disclosed by the individual trustee who opened the trust account. For shareholders who declare insider shareholdings with ownership greater than 10% in accordance with Securities and Exchange Act, the shareholdings include shares held by shareholders and those delivered to the trust over which shareholders have rights to determine the use of trust property. For information relating to insider shareholding declaration, refer to Market Observation Post System.

Note 3: The principle of preparation of this table is to calculate the distribution of the balance of each credit transaction with reference to the roster of securities owners whose transfer has been suspended by the shareholders' temporary meeting (the securities lending will not be replenished).

Note 4: Shareholding rate (%) = Number of shares held / Total number of shares that have been issued without physical registration.

Note 5: Total number of shares that have been issued without physical registration (including treasury shares) is 89,263,150 shares = 89,263,150 (Ordinary share)+ 0 (Preferred share).